

MEDTRONIC PLC MDT

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by [ladera838](#)

			2026	2027
Price:	93.80	EPS	0	0
Shares Out. (in M):	1,279	P/E	0	0
Market Cap (in \$M):	120,000	P/FCF	0	0
Net Debt (in \$M):	19,334	EBIT	0	0
TEV (in \$M):	139,334	TEV/EBIT	0	0

Description

This writeup will be brief, as the idea is a simple one, requiring limited analysis. The opportunity is small, best suited for PAs. Bottom line: Invest about \$9,300, with the expectation of a profit of about \$700 in a few weeks. If it works as expected, the return is good, but not scalable, except to the limited extent that you can also do it for family members.

THE COMPANIES

Medtronic plc (MDT) owned 100% of MiniMed (MMED), its diabetes management business, prior to MiniMed's IPO in March. Medtronic sold 28 million shares of MMED at the IPO price of \$20, retaining a stake of 90%. the stock is now just under \$22. Medtronic continues to own 90% of MiniMed, about 252.8 million shares.

For the purpose of this transaction, the financial and business details of the two companies are not important. I will mention that MiniMed, while growing, is a loss-making company, with a fiscal 2026 (FYE April) operating loss of \$190 million on revenue of \$3.1 billion. Operating losses were \$146 million and \$69 million in the two prior fiscal years. You can find information on the companies' websites and the SEC website.

THE EXCHANGE OFFER

Medtronic has just launched an offer to exchange 225.4 million shares of MiniMed Group (just over 80% of the outstanding shares of MMED) for shares of Medtronic. If the exchange offer is oversubscribed, as it will very likely be, Medtronic intends to increase its offer to 252.8 million shares, thus divesting itself of all its MMED shares. This "split-off" will be a tax-free transaction for Medtronic shareholders who participate—unless, of course, you sell the MMED shares.

<https://www.sec.gov/Archives/edgar/data/0002062583/000162828026061669/0001628280-26-061669-index.htm>

The transaction is structured so that for every \$93 of MDT stock that is accepted in the exchange offer, the intention is that you should receive about \$100 of MMED, for an expected gain of about 7.5%. (This expected gain could be lower if the stock prices fluctuate such that the upper limit of MMED shares is in effect; see below.) MDT's market capitalization is about \$120 billion. The 90% of MMED owned by MDT has a market value of about \$5.5 billion. If all of Medtronic's shares participate in the exchange offer, the proration ratio will be less than 5%. Since all shareholders are unlikely to participate, the ratio will probably be somewhat higher, maybe 6-8%.

The exception is for holders of odd-lots, i.e. shareholders who own less than 100 shares of MDT and tender all their shares. These shares get the odd-lot preference and will not be prorated. So buy 99 shares of MDT and tender all the shares in the exchange offer. You will receive about 450 shares of MMED (depending on the prices of MDT and MMED near the end of the offer period). Immediately sell the MMED shares.

The offer expires on 10/9/26. The number of shares you receive for each share of MMED will be determined based on the average VWAP of MDT and MMED on October 5, 6 and 7. There is an upper limit of 4.5939 shares of MMED for each share of MDT; there is no lower limit. If you participate, please read the exchange offer prospectus carefully.

My approach is to buy MDT as late as possible prior to the expiration, to increase the likelihood of making a profit. If MMED's price decreases substantially relative to that of MDT, the upper limit will kick in and the profit potential will decrease. The possibility of a loss is real.

RISKS

1. The exchange offer is cancelled after we've purchased MDT.
2. The odd-lot preference is cancelled after we purchase MDT. While this is possible, I think it unlikely. Medtronic will be buying back approximately 50-55 million of its shares in the exchange and is unlikely to care if there are a large number of odd-lots.
3. The biggest risk is that the price of MMED collapses between the time we purchase MDT and the time we receive and sell MMED stock, a period of

one to two weeks.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

Completion of exchange offer.

Messages

No messages